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Case Number: 20STCV22905 Hearing Date: August 19, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Irving Murillo v. Sky Chefs, Inc., et al.

Case

No.: 20STCV22905

Hearing Date:

August 19, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$1,333,200 for

attorney fees to Class Counsel, Crosner Legal, P.C., James Hawkins APLC,

Lawyers for Justice, P.C., and Gaines & Gaines, APLC; (2) \$69,731.66 for attorney costs to Class Counsel; (3) enhancement payments

of \$7,500 each to the class

representatives, Irving

Murillo, Ramon Robles, Valentina Reyes, and Kevin Rivas; (4)

\$75,000 (75% of \$100,000 PAGA penalty) to the LWDA; and (5) \$35,000 for

settlement administration costs to Atticus Administration, LLC.

Plaintiffs' counsel shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and the names of the class members who requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date for submission of a final report for _____, with the final report due to be filed at least five court days beforehand.

BACKGROUND

Plaintiffs

Irving Murillo, Ramon Robles, Valentina Reyes, and Kevin Rivas sue their former employer, Defendant Sky Chefs, LLC (f/k/a Sky Chefs, Inc.), for alleged wage and hour violations. Plaintiffs seek to represent a class of Defendant's current and former non-exempt employees.

On

March 25, 2019, Plaintiff Reyes submitted a letter to the Labor and Workforce Development Agency ("LWDA") and Defendant outlining the facts and theories underlying her claims. After the LWDA declined to investigate her allegations, Plaintiff Reyes filed a representative action complaint on June 7, 2019, which was later amended to allege class claims, against Defendant in the Alameda County Superior Court and subsequently removed to and currently pending in the United States District Court for the Northern District of California, Case No. 3:20-cv-08590-LB (the "Reyes Action").

On

April 14, 2020 and September 15, 2020, Plaintiff Irving Murillo provided written notice to the LWDA and Defendant regarding provisions of the California Labor Code and Industrial Welfare Commission Wage Orders that he alleges Defendant violated to the LWDA and Defendant. Plaintiff Murillo filed a Class Action Complaint on June 15, 2020, thereby commencing this Action, alleging wage and hour violations against Defendant, and subsequently amended it on November 13, 2020, to add a cause of action pursuant to PAGA (the "Murillo Action").

On

October 6, 2020, Plaintiff Kevin Rivas complied with the administrative prerequisites set forth in PAGA by submitting a letter to the LWDA and Defendant outlining the facts and theories underlying his claims. On April 1, 2021, Plaintiff Rivas filed a representative action complaint against Defendant in the Alameda County Superior Court, Case No. RG21094677 entitled Kevin Rivas v. Sky Chefs, Inc. (the "Rivas Action").

On

April 23, 2021, Plaintiff Robles provided written notice to the LWDA and Defendant. On June 28, 2021, Plaintiff Robles filed a Complaint for Enforcement Under the Private Attorneys General Act, California Labor Code § 2698, et seq. thereby commencing Case No. 21TRCV00471 ("Robles PAGA Action"), which was later dismissed on October 24, 2022. On June 29, 2021, Plaintiff Ramon Robles filed a Class Action Complaint for Damages, Case No. 21STCV23939 ("Robles Class Action"). On October 14, 2022, Plaintiff Robles filed a First Amended Class Action Complaint for Damages & Enforcement Under the Private Attorneys General Act, California Labor Code § 2698, Et Seq. in the Robles Class Action, thereby adding a claim for civil penalties under PAGA.

On

November 17, 2023, the Parties participated in an all-day mediation presided over by Lisa Klerman, Esq. The Parties did not settle at mediation. Through continued negotiations, the Parties subsequently accepted a mediator's proposal and executed a Memorandum of Understanding on October 21, 2024, which stated that the Parties would seek approval of the settlement in the Murillo Action. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on February 6, 2026.

On

February 10, 2026, pursuant to the settlement, Plaintiffs filed the operative Third Amended Complaint, which asserts class and PAGA action claims on behalf of Plaintiffs Murillo, Robles, Reyes and Rivas against Defendant Sky Chefs, LLC (f/k/a Sky Chefs, Inc.) for: (1) Failure To Pay Wages, Including, Inter Alia, Minimum Wages; (2) Failure To Pay Overtime Wages; (3) Failure To Provide Meal Periods and Meal Period Premiums; (4) Failure To Provide Rest Breaks and Rest Break Premiums; (5) Failure To Provide Accurate Wage Statements; (6) Failure To Timely Pay Wages During Employment (7) Failure To Timely Pay Wages Upon Termination Of Employment and Waiting Time Penalties; (8) Failure To Keep Requisite Payroll Records; (9) Failure To Reimburse Business Expenses; (10)

Unfair Competition; and (11) Violations Of Private Attorneys General Act.

On April 14, 2026, after the parties filed further briefing to address concerns raised by the Court, preliminary approval of the settlement was granted.

Notice was given to the Class Members as ordered (see Declaration of Ann Linton ("Linton Decl.")). Now before the Court is the Motion for Final Approval of the settlement.

SETTLEMENT

CLASS DEFINITION

.

"Class"

means all current and former non-exempt hourly employees who worked for Defendant in California during the Class Period. (¶1.5)

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"Class

Period" means the period from June 7, 2015, to September 24, 2024. (¶1.12)

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"Aggrieved

Employee" means all current and former non-exempt hourly employees who worked for Defendant in California during the PAGA Period. (¶1.4)

.

"PAGA

Period" means the period from April 3, 2018, to September 24, 2024. (¶1.32)

.

"Participating

Class Member" means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶1.37)

TERMS

OF SETTLEMENT AGREEMENT

The essential terms are as

follows:

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The Gross

Settlement Amount ("GSA") is \$4,000,000, non-reversionary.

(¶13.1)

o Escalator Clause: Based on its records,

Defendant estimates that, as of the date of mediation on November 17, 2023, there were 5,862 Class Members with a total of 535,000 Workweeks during the period from June 7, 2015 to November 17, 2023 and there were 4,257 Aggrieved Employees with a total of 301,762 PAGA Pay Periods during the period April 3, 2018 to November 17, 2023. (¶18.1) The Gross

Settlement Amount was agreed upon based on Defendant's representations of the total number of Workweeks as stated above. If the number of Workweeks increases by more than 10%, or 53,500 Workweeks, for the period from June 7, 2015 to September 24, 2024, then Defendant shall have the election to either (a) cut off the Class Period and PAGA Period as of the date the 588,500 Workweek threshold is reached, or (b) proportionally increase the Gross Settlement Amount by the number of Workweeks in excess of 588,500 multiplied by the per Workweek value, and the per Workweek value shall be calculated by dividing the Gross Settlement Amount by 535,000. (¶18.2)

o At preliminary approval, Class Counsel

represented that based on updated data provided by Defendant, the total number of Workweeks for the Class Period (June 7, 2015 through September 24, 2024) is 581,059, which is less than the 588,500 Workweek threshold. (Supp. Decl. of Daniel F. Gaines ISO Prelim, ¶18.) Accordingly, the escalator clause was not triggered.

.

The

Net Settlement Amount ("Net") estimated at preliminary approval (\$2,416,800) is the GSA minus the following:

o Up to \$1,333,200

(33.33%) for

attorney fees (¶13.2.2);

o Up to \$75,000 for litigation costs (Ibid.);

o Up to \$40,000 total [\$10,000 each] for
a Service Payment to each Named Plaintiff (§3.2.1);

o Up to \$35,000 for settlement
administration costs (§3.2.3); and

o Payment of \$100,000 PAGA penalty (75%
or \$75,000 to the LWDA). (§3.2.5)

.

Defendant

will separately pay any and all employer payroll taxes owed on the Wage Portion
of the Individual Class Payments. (§3.1)

.

There

is no claim form requirement. (§3.1)

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Individual Settlement Payment Calculation: Each

Participating Class Member will receive an Individual Class Payment calculated
by (a) dividing the Net Settlement Amount by the total number of Workweeks
worked by all Participating Class Members during the Class Period and (b)
multiplying the result by each Participating Class Member's individual
Workweeks. (§3.2.4)

Non-Participating Class Members will not receive any Individual Class Payments.
The Administrator will retain amounts equal to their Individual Class Payments
in the Net Settlement Amount for distribution to Participating Class Members on
a pro rata basis. (§3.2.4.2)

o PAGA Payments: The Administrator will
calculate each Individual PAGA Payment by (a) dividing the amount of the
Aggrieved Employees' 25% share of PAGA Penalties (\$25,000) by the total number
of PAGA Pay Periods of all Aggrieved Employees during the PAGA Period and (b)
multiplying the result by each Aggrieved Employee's individual PAGA Pay
Periods. (§3.2.5.1)

o Tax Allocation: Participating Class Member's Individual
Class Payments will be allocated as follows: 20% as wages, 80% as interest and

non-wage statutory damages. (§13.2.4.1) The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (§13.2.5.2)

Response Deadline: "Response Deadline"

means 45 days after the Administrator mails the Class Notice to Class Members and Aggrieved Employees and shall be the last date on which Class Members may:

(a) email or mail Requests for Exclusion from the Class Settlement, (b) email or mail written objections to the Class Settlement, and/or (c) email or mail Workweeks Disputes. For Class Members to whom Class Notices are resent after having been returned undeliverable to the Administrator, the Response Deadline will be extended to the date that is 14 calendar days beyond the original Response Deadline. (§1.45; as amended by Joint Stipulation of 4/14/2026.) The same deadline applies to the submission of workweek disputes. (§7.6)

o If the number of valid Requests for Exclusion from the Class Settlement identified in the Exclusion List exceeds ten percent (10%) of the total of all Class Members, Defendant may, but is not obligated, to elect to withdraw from the settlement. (§9)

Funding

of Settlement: Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes, by transmitting the funds to the Administrator no later than 30 days after the Effective Date. (§4.3)

Disbursement:

Within 14 days after Defendant funds the Gross Settlement Amount, the Administrator will transmit payments for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payments shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.4)

Uncashed Settlement Checks: The face of each

check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. (§4.4.1) For any Participating Class Member and/or Aggrieved Employee whose Individual Class Payment check or Individual PAGA Payment check is uncashed and canceled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Division in the name of the Participating Class Member and/or Aggrieved Employee, and in their respective payment amount, thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (§4.4.3)

The settlement administrator will be Atticus Administration, LLC. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on February 2, 2026. (Gaines Decl. ISO Prelim, Exhibit E.)

Releases of Claims. Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiffs, Class Members, the State of California, and Aggrieved Employees will release claims against all Released Parties as follows: (§5)

o Release of Class

Claims by Participating Class Members: All Class Members who have not opted out from the Class Settlement will release and discharge the Released Parties from all claims, demands, rights, or liabilities that were pled, or which could have been pled, based on the factual allegations alleged in the Operative Complaint and that arose during the Class Period, including, but not limited to, claims for violations of California Labor Code sections 201, 202, 203, 204, 226(a), 226.3, 226.7, 245, et seq., 510, 512(a), 1174(d), 1194, 1194.2, 1197, 1197.1, 1198, 2800 and 2802, and Industrial Welfare Commission Wage Orders Nos. 4-2001, 5-2001, and 9-2001 for: (a) failure to pay all wages owed, including minimum and overtime wages; (b) failure to provide proper meal periods, and to properly provide premium pay in lieu thereof; (c) failure to provide proper rest periods, and to properly provide premium pay in lieu thereof; (d) failure to provide complete, accurate, and/or properly formatted wage statements; (e)

failure to timely pay wages during employment; (f) failure to timely pay wages upon termination of employment associated waiting time penalties; (g) failure to reimburse all reasonable and necessary business expenses; (h) failure to pay sick pay; (i) unfair business practices that could have been premised on the claims, causes of action, or legal theories of relief described above or on any of the claims, causes of action, or legal theories of relief pleaded in the Operative Complaint; (j) any other claims or penalties under the wage and hour laws pleaded in the Operative Complaint; and (k) all damages, penalties, interest, and other amounts recoverable under said claims, causes of action, or legal theories of relief in the Operative Complaint (collectively, the “Released Class Claims”). (§15.2)

§ “Operative Complaint”

means the Third Amended Class Action Complaint, which shall be filed pursuant to the terms of this Agreement, in *Murillo v. Sky Chefs, Inc.* (Los Angeles County Superior Court Case No. 20STCV22905). (§1.30)

o Released PAGA Claims

by Aggrieved Employees: The State of California with respect to all Aggrieved Employees, including and not limited to, Non-Participating Class Members who are Aggrieved Employees, are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for civil penalties recoverable under the Private Attorneys General Act, California Labor Code section 2698, et seq. that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notices and that arose during the PAGA Period, including but not limited to, claims for violations of California Labor Code sections 201, 202, 203, 204, 226(a), 226.3, 226.7, 245, et seq., 510, 512(a), 1174(d), 1194, 1194.2, 1197, 1197.1, 1198, 2800 and 2802, and Industrial Welfare Commission Wage Orders Nos. 4- 2001, 5-2001, and 9-2001 for: (a) failure to pay all wages owed, including minimum and overtime wages; (b) failure to provide proper meal periods, and to properly provide premium pay in lieu thereof; (c) failure to provide proper rest periods, and to properly provide premium pay in lieu thereof; (d) failure to provide complete, accurate, and/or properly formatted wage statements; (e) failure to timely pay wages during employment; (f) failure to timely pay wages upon termination of employment and associated waiting time penalties; (g) failure to reimburse all reasonable and necessary business expenses; and (h) failure to pay sick pay (collectively, the “Released PAGA Claims”). (§15.3)

§ "PAGA

Notices" means, collectively, the Reyes PAGA Notice, Murillo PAGA Notice I, Murillo PAGA Notice II, Robles PAGA Notice, and Rivas PAGA Notice. (¶1.34)

§ Because future PAGA

claims are subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to release the Released PAGA Claims identified in Paragraph 5.3 of this Agreement and are eligible for an Individual PAGA Payment. (¶7.5.4)

o "Released Parties" means Sky Chefs, LLC

f/k/a Sky Chefs, Inc. and its former and present directors, officers, shareholders, owners, members, managing agents, attorneys, insurers, predecessors, successors, assigns, subsidiaries, and affiliates. (¶1.43)

o Named Plaintiffs will

also provide a general release and CC § 1542 waiver. (¶15.1)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of April 14, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction

of the class members to the proposed settlement.

Number of class members: 6,559 (Linton Decl., ¶5.)

Number of notice packets mailed: 6,559 (Id. at ¶7.)

Number of undeliverable notices: 451 (Id. at ¶10.)

Number of opt-outs: 3 (Id. at ¶12.)

Number of objections: 0 (Ibid.)

Number of participating class members: 309 (Id. at ¶14.)

Average individual payment: \$368.47 (Id. at ¶17.)

Highest individual payment: \$2,017.25 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the

Class Members and the LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$1,333,200.00 in fees and \$69,731.66 in costs. (Memo ISO Attorneys' Fees at 19:7-11.) The Settlement Agreement provides for up to \$1,333,200 (33.33%) in fees and \$75,000 in costs (¶3.2.2).

"Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Attorneys' Fees at pp. 11-19.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents one-third of the gross settlement amount, which is the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ["Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery."].)

Class Counsel has provided information, summarized below, from which the lodestar may be calculated:

Firm

Rates

Hours

Totals

Gaines & Gaines, APLC

\$550-750

333.1

\$217,247.50

Crosner Legal, P.C.

\$600-900

531.9

\$396,985.00

James Hawkins APLC

\$220-1,000

210.3

\$197,412.50

Lawyers for Justice, P.C.

\$850

260.3

\$221,255.00

Totals

1,335.60

\$1,032,900.00

(Gaines Decl. ISO Final, ¶¶43-52, Exhibit E;
Brouillette Decl. ISO Final, ¶¶27-30, Exhibit 1; Dacre Decl. ISO Final, ¶16;
Matavosian Decl. ISO Final, ¶¶13-14, Exhibit A.)

Counsel's percentage-based fee request is higher
than the unadjusted lodestar, and would represent application of a multiplier
of approximately 1.29x.

Fee Split: Counsel entered into a Joint Prosecution Agreement consented
to in writing by all Plaintiffs. Pursuant to paragraph 3.2.2 of the Settlement
Agreement, which has been signed by all Plaintiffs, "Plaintiffs understand and
agree that Class Counsel shall share the attorneys' fees recovered in the
following proportions: to Gaines & Gaines, APLC, 24%, to Law Offices of
Alex P. Katofsky, APC, 6% [former of counsel for Gaines & Gaines, APLC], to
Crosner Legal, P.C., 30%, to James Hawkins APLC, 20%, and to Lawyers for
Justice, P.C., 20%. The division of fees shall not increase the total fees
charged to Plaintiffs or the Class." (Gaines Decl. ISO Final, ¶40.)

Here, the fee request represents a reasonable
percentage of the total funds paid by Defendant. Notice of the fee request was
provided to class members in the notice packet and no one objected. (Linton Decl., ¶12, Exhibit A.)

As

for costs, Class Counsel is requesting a cost amount of \$69,731.66. This is less than the \$75,000 cap estimated at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Linton Decl., ¶12, Exhibit A.) Counsel represent that costs include, but are not limited to: filing and service fees, Case Anywhere, mediation fees, and expert fees. (Gaines Decl. ISO Final, ¶59, Exhibit F; Brouillette Decl. ISO Final, ¶34; Dacre Decl. ISO Final, ¶18, Exhibit 1; Matavosian Decl. ISO Final, ¶21, Exhibit B.) The costs appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the Court
awards \$1,333,200
in fees and \$69,731.66 in costs.

D. Incentive Awards

The class representatives, Irving Murillo, Ramon Robles, Valentina Reyes, and Kevin Rivas, seek enhancement payments of \$10,000 each for their contributions to the action. (Memo ISO Attorneys' Fees at 19:27.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they "should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class."

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.'

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was 'necessary to induce [the named plaintiff] to participate in the suit'" (Id.

at 806-807, italics and ellipsis in original.)

Each Plaintiff represents that his or her contributions to this litigation include: communicating with their attorneys about the case, searching for and providing documents related to their work experience, responding to requests for information, and reviewing filings and the

settlement. (Declarations of Irving Murillo, Ramon Robles, Valentina Reyes, Kevin Rivas filed ISO Preliminary Approval.)

Based on the above,
as well as the benefits obtained on behalf of the class, the Court grants enhancement payments in the amount of \$7,500 to each Plaintiff.

E.

Settlement Administration Costs

The settlement administrator, Atticus, is requesting \$35,000 for the costs of settlement administration. (Linton Decl., ¶15.) This equals the estimate of \$35,000 provided for in the Settlement Agreement (¶3.2.3) and disclosed to class members in the Notice, to which there were no objections. (Linton Decl., ¶12, Exhibit A.) Based on the above, the Court approves administration costs in the requested amount of \$35,000.